

Assume that you have estimated the value of your take-home pay over the course of your career, discounted to your current age of 30, and it equals \$1,000,000. This is the value of your human capital. A simple application of the previously mentioned income approach would dictate that you purchase \$1,000,000 of term life insurance, assuming you have dependents, of course. A more refined approach would be to realize that this \$1,000,000 would be received by the family tax-free, and that the family would not incur as many expenses if you are no longer alive (as morbid as this sounds), so you might decide to reduce the \$1,000,000 by 20% or so. This is obviously *ad hoc* and not very scientific, but the point is that the income approach provides an upper bound.

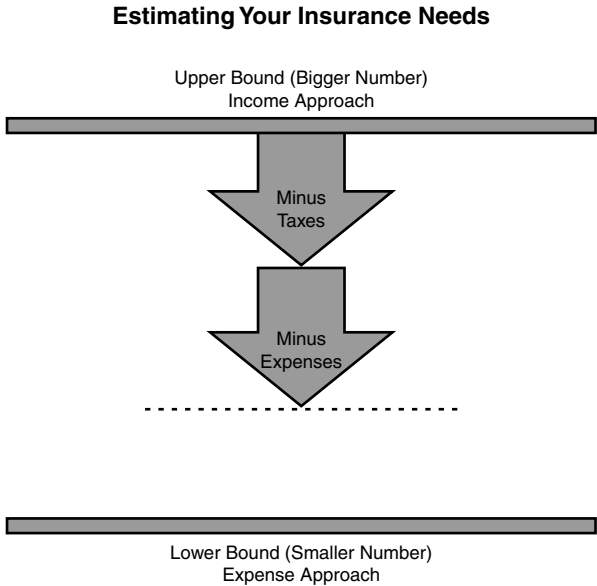


Figure 2.3 It's not a science, but stay in the ballpark.

The second approach, which usually results in a low amount of insurance, is the expense approach. This method does not focus on the value of human capital *per se*, but instead focuses on the expenses your family will incur over the course of their lives. You then buy life insurance to cover those expenses rather than to replace your income. As you can imagine, a wide variation exists between the amounts of insurance you think you need if you use the (family) expense method as